INVESTING

WHY CHOOSE ALL-WEATHER FUNDS

Balanced Advantage Funds are a class apart and come in handy for all types of investors for the dynamic asset allocation model they follow

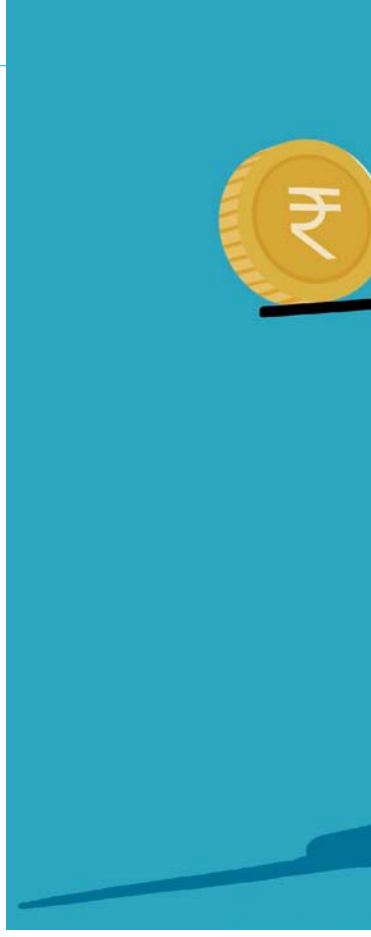


Illustration by SIDDHANT JUMDE

The hybrid fund category, as prescribed by the market regulator SEBI, follows a pattern where the funds need to maintain an allocation to equity and debt in varied combinations. Among them, the Balanced Advantage Funds or Dynamic Asset Allocation Funds, as they are popularly known, stand out because of the periodic rebalancing of these funds' portfolios depending on prevalent market conditions. The asset allocation between equity and debt is also aided by arbitrage opportunities and derivative instruments as a risk-hedging mechanism as stated in specific fund's objective.

Most Balanced Advantage Funds invest 65-80 per cent of the asset in equities based on the fund's stated objective and the strategy adopted by the AMC (asset management company) running the fund. The dynamic allocation is based on a model that is stated in the fund's objective and SID (scheme information document). This model varies across AMCs and hence each Balanced Advantage Fund is different in the way it is structured and managed. For instance, some may have a valuation matrix that decides the allocation to equity, while some may base the allocation based on the index levels to decide on the equity allocation. Likewise, some may take arbitrage as a strategy to manage.

Importantly, these funds can allocate and reallocate between asset classes dynamically depending on the changing market scenario. In effect, the overall portfolio stands to benefit from gains in equity, while returns are stable because of allocation to debt. As the market goes through a full cycle, investments in this fund offer a better mix of returns that can beat inflation in the long term by easing the downside of equity markets. In effect, these funds are suitable investment options in any market scenario.

FUND DYNAMICS

While one could sub-categorise these funds based on the average equity allocation different funds maintain, that doesn't do justice to the strategies adopted by the wide range of funds in this category. One set of funds follows the strategy of 'buy high and sell higher' by catching the trend. However, this type does face the risk of a significant drop when the markets fall, which could result in an erosion of up to 10 per cent in a short period. At the same time, as this approach does chase trends, it makes up for the short-term fall with a rebound when the markets go up.

A second strategy is based on a contrarian belief. Such funds reduce their equity allocation when the markets reach their peak and start increasing the equity allocation when the markets start to fall. This approach makes funds following this strategy less volatile and is suitable for investors willing to take a medium level of risk. The last type of balanced advantage fund follows a high equity allocation and adopts the arbitrage strategy to make up for any lowering in its equity allocation.

Such is the popularity of the Dynamic Asset Allocation Funds category that among hybrids, they account for high assets that are managed by AMCs. The return posted by the category is favourable, but it varies

INVESTING IN BALANCED ADVANTAGE FUNDS CAN BEAT INFLATION IN THE LONG TERM, MAKING THEM A SUITABLE INVESTMENT OPTION IN ANY MARKET SCENARIO